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NARENDRA TANEJA
ENERGY EXPERT



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D.K. SRIVASTAVA
CHIEF POLICY
ADVISOR, EY INDIA

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domestic prices, inflation could be lower by about 30 bps with a boost of 15 bps to India’s real GDP growth. In contrast, recovery in global demand, and restriction in oil supplies due to continuing geopolitical tensions may put upward pressure on prices. “In a scenario where crude prices are higher by 10% than the baseline assumption, domestic inflation may turn out to be higher by 30 bps and growth may be weaker by around 15 bps,” it said.

D.K. Srivastava, Chief Policy Advisor at professional services firm EY India, agrees and points out that the contribution of net exports to India’s GDP remains small. Thus, low global crude oil prices will benefit India’s economic growth and also help bring down inflation and the subsidy bill.

“In case there is a further fall in global crude oil prices due to a global slowdown, the adverse impact on India’s growth would be limited. We will continue to benefit from low oil prices,” he says. He adds that the

government is already working on ways of using this opportunity to shore up its tax collections.

On April 7, the government raised excise duty on petrol and diesel by ₹2 per litre. The impact will be absorbed by oil marketing companies with no hit to consumers. The Centre, however, will be able to raise about ₹32,000 crore in excise duty. The next round of benefits could probably be passed on to consumers. This was hinted at by Petroleum Minister Hardeep Puri who said oil companies may have headroom to lower retail prices when their inventory cost is in the \$60-65 per barrel range.

The last round of cuts took place in March 2024, when OMCs reduced the retail prices of petrol and diesel by ₹2 per litre each.

However, energy expert Narendra Taneja points out that petroleum products remain a significant source of revenue for the Centre and states with nearly 50% of the retail price going to the exchequer as taxes. “How far the Centre and the states are willing to cut retail prices is to be seen,” he notes.

To be sure, the petroleum sector is a significant contributor to the exchequer and provided ₹7.51 lakh crore as revenue to the overall kitty of the Centre and states in FY24 and ₹3.39 lakh crore in the first six months of FY25.

Taneja also cautions that too steep a fall in crude oil prices is not always advantageous. “In the short run, it is certainly good news for India as it helps bring down the import bill. But if oil prices fall along with a global slowdown, it is not always good news as our economy is integrated with the global economy,” he notes.

Taneja points out that if global crude oil prices fall below \$60 a barrel, then production becomes unviable for many producers, especially those producing in deep and ultra deep water. “Countries like Iraq, Russia and Saudi Arabia can still deal with low prices below \$60 per barrel thanks to their on-land oil fields, but most other producers like Norway and Angola cannot,” he says.

There are fresh global developments every day as the US tinkers with its trade and tariff policies. For now, it has imposed a 90-day pause on “reciprocal” tariffs and India is amongst several countries looking to offset that by signing a trade deal with the US. The trajectory of global crude oil prices will depend to a large extent on geopolitical developments. In recent years, prices have proved to be remarkably resilient and have managed to absorb the shocks from the still ongoing wars in the Middle East and Russia and Ukraine.

It’s still early days and the anxiety, if at all, may set in only later. For now, falling global crude oil prices remain a reason to celebrate in India. **BT**

@surabhi_prasad